Memory and Hormuz

Micron joins the $1T club on UBS upgrade. AI semis carry the tape. Brent rebounds to $99 on fresh US strikes; energy holdings fade. Russell 2000 leads at +1.79%; Dow trails at −0.23%.

THE SESSION

Three calendar days of news, one trading session to absorb it — and the absorption ran through memory chips, not crude oil. The S&P 500 closed at 7,519.47 (+0.62%), the Nasdaq at 26,656.18 (+1.19%), and the Russell 2000 at 2,920.54 (+1.79%), with the Dow Jones diverging red at −0.23% as IBM, Cisco, and UnitedHealth weighed on the price-weighted average. The day's leadership was tightly concentrated: Micron joined the $1 trillion market-cap club, surging roughly 18% intraday on a UBS price-target lift to $1,625, and the rerating pulled the entire memory and AI-accelerator complex along with it. Bitcoin slipped to $75,951 (−1.97%), and the VIX ticked up to 17.01.

The morning brief opened with a constructive futures setup against the Iran framework holding through the long weekend — that framing held, with a complication. Brent traded back to roughly $99 per barrel after the US military announced fresh self-defense strikes against Iranian missile sites and mining boats Monday night, rebounding from the $96 print that prevailed pre-open. Yet despite Brent firming intraday, the IOWN energy sleeve sold off across the board: DVN at $45.14 (−4.40%), CVX at $184.71 (−3.51%), OKE at $90.44 (−3.82%), VLO at $241.45 (−2.23%), CNX at $34.73 (−1.64%). The tape priced the structural path — eventual Hormuz reopening, eventual war-premium unwind — over the day's tactical noise.

Underneath the chip leadership, the AI-infrastructure capex thesis broadened beyond pure semiconductors: CAT at $908.55 (+3.26%) on continued data-center power-generation demand, STLD at $250.49 (+4.36%) and FCX at $64.36 (+3.82%) on the physical-buildout read-through, and VST at $164.56 (+5.30%) on the same power thesis. Consumer Confidence printed 93.1 for May, down from a revised 93.8, with the Present Situation index off 3.2 points to 121.2; the Expectations component improved 1.0 point to 74.4 but remains below the 80 threshold historically associated with recession risk. The PCE Deflator and second Q1 GDP estimate arrive Thursday at 8:30 AM ET, with Dell's AI-server results after the close that same day — the cleanest pre-FOMC read into Warsh's first June meeting.

IOWN Tactical: The S&P 500 sits well above its 200-day moving average and the AI-leadership chip rally has extended the index meaningfully off the April lows. Neither tactical signal is active here. We continue to hold what we own. Think Like an Owner.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

AMD +7.78% — GROWTH PORTFOLIO

Closed at $503.89 as the memory and AI-accelerator complex rallied behind the Micron $1T milestone. Up 66% year-to-date through earlier May per analyst coverage; the OpenAI multi-year agreement and Data Center segment momentum continue to drive the position.

SUPV +6.43% — GROWTH PORTFOLIO

Closed at $8.44 as the Russell 2000 small-cap rally extended; the Argentine bank exposure continues to participate when small-caps lead, and the Russell finished +1.79% on the day.

HUT +6.27% — GROWTH PORTFOLIO

Closed at $112.54 even as Bitcoin slipped to $75,951 (−1.97%) and IBIT finished essentially flat at +0.07%; the move was idiosyncratic to the miner, driven by the AI-compute pivot story underlying Hut 8's data-center positioning.

MRVL +6.08% — GROWTH PORTFOLIO

Closed at $208.26 as the broad AI semiconductor rally lifted the custom-ASIC complex; Marvell is the second-largest beneficiary alongside Broadcom of hyperscaler custom-silicon demand, which the QCOM-ByteDance announcement reinforced.

ADI +5.76% — DIVIDEND STRATEGY

Closed at $419.94 as the analog semiconductor names caught the memory-and-AI bid; ADI's industrial and automotive exposure continues to benefit from the broader physical-AI capex theme.

LRCX +5.68% — DIVIDEND STRATEGY

Closed at $322.68 as the semiconductor capital-equipment complex extended; Micron's announced HBM capacity build-out through 2026 implies continued wafer-fab equipment demand, where LRCX sits.

VST +5.30% — GROWTH PORTFOLIO

Closed at $164.56 on continued AI-data-center power demand; the position pairs with NEE and the broader utilities sleeve as the power piece of the AI infrastructure thesis.

NXPI +5.12% — GROWTH PORTFOLIO

Closed at $332.67 in the analog and automotive semiconductor rally; same thematic driver as ADI.

QCOM **+4.48%** DIVIDEND STRATEGY

Closed at $248.82 after Bloomberg reported a deal to supply ByteDance with millions of AI-data-center ASICs — one of QCOM's first major customers for its custom-silicon push. Shares hit a fresh intraday high on the report; Investor Day on June 24 will detail the data-center roadmap.

STLD **+4.36%** DIVIDEND STRATEGY

Closed at $250.49 as the steel name caught the industrial-and-materials bid alongside CAT and FCX; the AI-infrastructure physical-buildout thesis extending to the materials sleeve.

FCX **+3.82%** GROWTH PORTFOLIO

Closed at $64.36 as copper rallied on the same physical-buildout read; data-center copper intensity continues to draw incremental demand.

MARA **+3.40%** GROWTH PORTFOLIO

Closed at $14.28 despite Bitcoin's −1.97% session; the miner traded with HUT on the AI-compute pivot story rather than with the underlying digital asset.

CAT **+3.26%** DIVIDEND STRATEGY

Closed at $908.55, extending the year-to-date run that has been driven by Power Generation revenue tied to data-center demand. The position carries an outsized share of the Dividend sleeve's AI-infrastructure read.

TEL **+2.87%** DIVIDEND STRATEGY

Closed at $208.60 as the connectivity-component complex caught the chip rally; TE Connectivity's data-center and automotive exposure lifted with the broader semiconductor tape.

AEM **+2.65%** GROWTH PORTFOLIO

Closed at $180.57; gold finished the day at $4,508.50 (−0.32%), but Agnico Eagle traded with the broader risk-on rotation rather than spot.

KEYS **+2.65%** GROWTH PORTFOLIO

Closed at $355.74 in the test-and-measurement read-through to the semiconductor capex cycle; same vendor-of-the-AI-buildout thesis.

TOL **+2.62%** GROWTH PORTFOLIO

Closed at $137.85, the homebuilder participating in the small-cap and rate-sensitive rally; the position is the IOWN's direct read on consumer housing demand into the Thursday PCE print.

PCAR **+2.43%** DIVIDEND STRATEGY

Closed at $112.01 in the industrials bid; PACCAR's truck exposure tracks the same capital-cycle theme carrying CAT and STLD.

TSM **+1.93%** GROWTH PORTFOLIO

Closed at $412.32 as the foundry beneficiary of the broad AI semi rally; TSM manufactures both Micron's and Qualcomm's AI silicon.

CRDO **+1.48%** GROWTH PORTFOLIO

Closed at $221.64, extending Friday's 12.95% move on the Zacks upgrade and Rothschild & Co Redburn Buy initiation; the FY2026 results land June 1.

DECLINERS

DVN **–4.40%** DIVIDEND STRATEGY

Closed at $45.14 as the IOWN energy sleeve sold off across the board on the Iran framework structural-read; the market priced the eventual Hormuz reopening over the day's tactical Brent rebound to $99. The position replaced CTRA in mid-May; the Devon merger dynamics that weighed on the original holding are now embedded in the resulting entity.

OKE **–3.82%** GROWTH PORTFOLIO

Closed at $90.44 in the broad energy roll-over; the midstream name carried the same structural-peace read as the upstream and integrated holdings.

CVX **–3.51%** GROWTH PORTFOLIO

Closed at $184.71 despite Brent firming intraday; the integrated major sold with the rest of the sleeve on the same eventual-unwind thesis.

ADP **–3.09%** DIVIDEND STRATEGY

Closed at $218.35 as labor-services and HR-software names extended their year-to-date underperformance; the rotation into AI semis pulled capital out of the defensive labor-related book.

ATAT **–2.75%** GROWTH PORTFOLIO

Closed at $32.91; the Chinese hospitality name diverged from the broader risk-on tape.

COIN **–2.69%** GROWTH PORTFOLIO

Closed at $180.01 with the digital-asset sleeve's Bitcoin weakness; IBIT finished essentially flat but COIN traded with the underlying.

VLO **–2.23%** DIVIDEND STRATEGY

Closed at $241.45 as the refiner sold with the broader energy sleeve; Valero specifically faces narrowed crack spreads if Brent compresses on a confirmed Hormuz reopening.

CNX **–1.64%** GROWTH PORTFOLIO

Closed at $34.73; the natural gas name was the lightest energy-sleeve decliner, but joined the broader complex's pricing of the eventual peace path.

DGX **–1.19%** DIVIDEND STRATEGY

Closed at $192.88 as the diagnostic services name traded with the broader healthcare and defensive weakness, against the AI-led tape.

SYK **–1.10%** DIVIDEND STRATEGY

Closed at $313.00 on the same defensive rotation; the medical-device complex underperformed against the chip leadership.

NEE **–1.02%** DIVIDEND STRATEGY

Closed at $87.65; the utility name diverged from VST's +5.30% move — the data-center power thesis is bifurcating the utility sleeve between the IPP exposures and the regulated names.

ABT **–0.85%** DIVIDEND STRATEGY

Closed at $86.67 on the defensive-rotation softness; no holding-specific catalyst.

CL –0.84% DIVIDEND STRATEGY

Closed at $89.85 as consumer-staples traded with the broader defensive weakness.

GPC –0.84% DIVIDEND STRATEGY

Closed at $97.05 in the consumer-discretionary auto-aftermarket softness; AutoZone's pre-open Q3 result did not lift the read-through to GPC.

NVDA –0.22% GROWTH PORTFOLIO

Closed at $214.86 as the AI semiconductor leader paused into the broader memory-and-ASIC rally; Nvidia traded slightly red while the names it enables (AMD, MRVL, MU, QCOM, NXPI) all rallied multi-percent.

HOLDINGS NEWS

QCOM — ByteDance AI Data-Center ASIC Deal. Bloomberg reported Tuesday morning that Qualcomm has reached an agreement to supply ByteDance with millions of application-specific integrated circuits for AI data-center workloads, supporting ByteDance's AI agent software. The deal makes ByteDance one of Qualcomm's first major customers for the custom-silicon line that CEO Cristiano Amon outlined on the Q2 fiscal 2026 call, where he confirmed a leading-hyperscaler custom-silicon engagement with shipments expected later this calendar year. Per South China Morning Post coverage, ByteDance raised its 2026 AI-infrastructure budget approximately 25% to RMB200 billion (roughly $29.4 billion). Investor Day on June 24 will detail the data-center and Physical AI roadmap. Shares finished +4.48% at $248.82, after touching a fresh intraday high earlier in the session.

DVN — Energy Sleeve Sell-Off on Iran Framework Structural Read. Devon closed at $45.14 (−4.40%) as the broader IOWN energy sleeve repriced for the eventual Hormuz reopening, with the broad complex (CVX, OKE, VLO, CNX) selling alongside despite Brent rebounding to $99 on Monday night's US strikes. The structural setup remains: per Wood Mackenzie commentary previously referenced, a confirmed Hormuz reopening would point spot Brent toward $80 by year-end on premium unwind; Goldman Sachs has cited a late-2026 view closer to $90 on more persistent disruption.

Memory and AI Chip Complex — The Micron $1T Read-Through. Micron Technology — not an IOWN holding — surged approximately 18% to surpass a $1 trillion market capitalization, driven by a UBS price-target lift to $1,625 from $535 implying roughly 90% upside per the bank's 12-month view. The HBM supply commitment through 2026 underpinned the rerating. The read-through carried the entire IOWN semiconductor complex: AMD (+7.78%), MRVL (+6.08%), ADI (+5.76%), LRCX (+5.68%), NXPI (+5.12%), QCOM (+4.48%), TSM (+1.93%), and CRDO (+1.48%) all participated.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.48%

vs. DVY –0.33% | SPY +0.66%

GROWTH PORTFOLIO ✓ BEAT

+2.02%

vs. IUSG +1.27%

YEAR-TO-DATE

Dividend +14.04% vs DVY +9.99% / SPY +10.07%

Growth +15.58% vs IUSG +12.56%